

A Report into the Relationship between Tax, GDP and Regulatory Environment

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Abstract

A Report compiled for the Alliance of Wealthy People who Dislike Tax, investigating the relationship between rates of taxation (measured as a percentage of GDP), regulatory environment (measured through the World Bank's Ease of Doing Business), and GDP per capita (measured in current US dollars). Data are for European and Central Asian countries for the year 2019.

0.1 Findings

A multivariate regression of the variables resulted in the following findings:

Table 1: Regression Results: GDP per capita vs Tax and Regulation

	<i>Dependent variable:</i>
	GDP per capita (current US\$)
Tax revenue (% of GDP)	1,458.24* (738.97)
Ease of doing business rank	-222.97 (162.66)
Constant	9,256.39 (17,201.77)
Observations	46
R ²	0.13
Adjusted R ²	0.09
<i>Note:</i>	*p<0.1; **p<0.05; ***p<0.01

The relationship can be visualised in a scatter plot.



Figure 1: Scatter plot of GDP vs Tax Revenue